Saudi oil disruptions to persist amid regional conflict in 2026

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【メール原文】

Saudi-Houthi conflict will likely sustain a partial disruption of Saudi oil (60% odds) . The Houthis are set to continue drone attacks against Saudi-l‌|||||||||||||||

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The Houthis will probably keep up attacks on Saudi-linked shipping in the Red Sea and Bab el-Mandeb Strait as well as strikes on Saudi energy infrastructure during the remainder of 2026 (60% odds), partially disrupting Saudi oil exports, though a full blockade or sustained hit to these exports is much less likely (15% odds).
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A Saudi-Houthi deal looks unlikely this year because Houthi demands remain expansive and Iran's position keeps them emboldened (25% probability); the Prophet Mohammed's birthday on 25 August could be a key watchpoint for either compromise or escalation.
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The risk picture is broader than Yemen: Given the expectation of US-Iran escalation by mid-September, attacks by Iran and Iraq-based militias could add pressure on Saudi oil and US-linked targets in the kingdom, making Saudi export disruption more likely.

Saudi-Houthi conflict will likely sustain a partial disruption of Saudi oil (60% odds). The Houthis are set to continue drone attacks against Saudi-linked shipping in the Red Sea and the Bab el-Mandeb Strait without imposing a full blockade in 2026; they will also continue launching missile and drone attacks at energy-related infrastructure along the Red Sea, such as the Jazan refinery and Yanbu port, to demonstrate their ability to inflict damage, but stop short of causing a major long-term disruption in Saudi oil exports. The ultimate objective of the Houthi campaign is to reach a favorable agreement with Saudi Arabia, not to fight a full-fledged and open-ended war in support of Iran. Similarly, Riyadh has calibrated its retaliation.

A deal is probably out of reach this year (25%). The Houthis have at least four main demands: They want 70% of the country's oil resources (based on the larger share of the population under their rule) from the Yemeni government; hundreds of millions of dollars from Saudi Arabia to pay civil servant salaries; a multibillion-dollar reparations fund from Riyadh; and full control over airports and ports in Houthi territory.

Riyadh is amenable to a compromise—it recently allowed additional flights to reach Sanaa—but will draw a redline at permitting the Houthis to re-establish an airbridge with Iran. However, unless Iran faces a major setback and is militarily contained, the Houthis will continue to be emboldened to maintain pressure on the kingdom to extract more concessions, thus posing the main obstacle to a deal this year. The birthday of the Prophet Mohammed on 25 August could be an important inflection point at which the Houthis may agree to reach a compromise or pursue escalation.

Houthi maximalism and Saudi inflexibility can trigger large-scale conflict (15% odds). If Riyadh proves inflexible or the Houthis are maximalist in their demands—insisting on the airbridge with Iran or billions in reparations—Riyadh retains the option to expand its air campaign or for its Yemeni allies to launch a large-scale ground assault against the group (see: Houthis likely to launch limited attacks to extract Saudi payoffs , 20 July 2026).

Saudi Defense Minister Prince Khalid bin Salman was in Washington this week, partly to unblock the transfer of arms to Saudi Arabia for operations against the Houthis. Saudi Arabia also announced a Red Sea coalition to counter the maritime threat. A major and long-term Houthi disruption of Saudi energy could become more likely, as the Houthis undertake more aggressive measures to block shipping in the Bab el-Mandeb Strait and regular attacks on Saudi shipping and energy facilities in the Red Sea.

Saudi oil and bases will sustain more attacks from Iran and Iraqi militias. Given the likelihood of US-Iran escalation by mid-September(55%), Saudi Arabia will face continued or greater pressure from Iran (see: Iran war escalation & energy implications , 29 July 2026). Iraqi Shia militias—which are increasingly coordinating with and getting support from the Houthis, including in Iraq—will continue launching drone strikes on Saudi energy-related infrastructure in the Eastern province, with some success. Despite efforts by Iraqi Prime Minister Ali Zaidi to improve ties with and attract FDI from Saudi Arabia, his government cannot restrain militia attacks, leading to the postponement of a planned visit to Riyadh this week (see: Iraq gives Trump what he wants on militias and oil, for now , 2 July 2026).

Meanwhile, in Eurasia Group's escalation basecase, Tehran will focus on disrupting the US military on Saudi territory, including the Prince Sultan air base. Riyadh has sought a détente while preparing to deter Iran, and though Iran's retaliation is likely to focus on other Arab states (namely Kuwait, Bahrain, and Jordan), it is also likely to strike targets in Saudi Arabia should its energy infrastructure come under US attack (see: GCC states will establish detente while pursuing deterrence with Iran , 17 June 2026).

Houthi attacks and US-Iran escalation will disrupt Saudi exports.Oil exports from the Yanbu terminal will remain at their current level of 4 million-4.5 million barrels per day (bpd) even if shipping is disrupted by Houthi attacks. Tankers can utilize the safer, though more circuitous and expensive shipping route through the Suez Canal and around Africa. While the largest tankers cannot pass through the canal fully laden, utilizing the Sumed pipeline running parallel with the canal permits passage once the tankers lighten their load.

Along with the expectation of escalation in the US-Iran conflict, this scenarioaligns with Eurasia Group's forecast of a $90-110 price band for Brent in the event of escalation. However, if the Saudi-Houthi conflict descends into all-out war, the combined effect of violence in the Red Sea and Strait of Hormuz would push prices into a higher band of $110-130.

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